

Economics Test -11

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Q1. _____ is the minimum amount of funds that every bank is required to keep with the Reserve Bank of India (RBI) in the form of deposits.

- A. Repo rate
- B. Cash Reserve Ratio**
- C. Liquidity Adjustment Facility
- D. Bank rate

Solution: Cash Reserve Ratio - It is a regulation implemented by the RBI as a monetary policy tool to control liquidity and manage inflation. Repo rate - The rate at which the RBI lends money to commercial banks. Liquidity Adjustment Facility (LAF) - It is used by RBI to inject or withdraw liquidity from the banking system. Bank rate - The interest rate at which a nation's central bank lends money to domestic banks, often in the form of very short-term loans. Statutory Liquidity Ratio (SLR) - The compulsory ratio of the deposit that the bank maintains in the form of money, gold, and other securities prescribed by RBI.

Q2. What is the role of a commercial bank in the economy?

- A. To print and issue currency
- B. To set interest rates for the entire banking system
- C. To provide financial services, such as accepting deposits, lending money and facilitating payments**
- D. To regulate the money supply

Solution: A commercial bank is a financial institution that accepts public deposits and lends money to individuals and businesses for consumption and investment, earning through loan interest. Its primary purpose is to offer financial services and loans, promoting economic stability and growth. Some commercial banks in India include State Bank of India (SBI), Punjab National Bank, Canara Bank, Bank of Baroda, ICICI Bank, HDFC Bank, Axis Bank, and Kotak Mahindra Bank.

Q3. How many types of revenue receipts exist in the economy?

- A. Two**
- B. Four
- C. Five
- D. Three

Solution: Two. Types of revenue receipt - Tax Revenue Receipt and Non Tax Revenue Receipt. Tax Revenue - The sum of all receipts from the taxes and all other duties under the government are referred to as tax revenue. They are either from direct taxes or indirect taxes. Non Tax Revenue Receipt (Non-tax revenue) is government revenue not generated from taxes. For example - Bond issues and profits of state-owned companies.

Q4. Which of the following is NOT a commercial bank?

- A. State Bank of India
- B. The Industrial Credit and Investment Corporation of India Bank
- C. Development Bank of Singapore
- D. National Bank for Agriculture and Rural Development**

Solution: National Bank for Agriculture and Rural Development (NABARD). NABARD is a development bank dedicated to rural development, focusing on financing agriculture, small-scale industries, and other rural economic activities. It was established on 12 July 1982, based on the recommendations of the B. Sivaraman Committee, through the National Bank for Agriculture and Rural Development Act 1981 (Act 61 of Parliament). The first chairman of NABARD was M. Ram Krisannaya.

Q5. Who issues ₹10 notes in India?

- A. Reserve Bank of India**
- B. State Bank of India
- C. Union Bank of India
- D. Central Bank of India

Solution: Reserve Bank of India (RBI) : Set up on the recommendation of (Hilton Young Commission). Established - April 1, 1935 under the RBI Act, 1934. Work - Implement and monitor the monetary policy and ensure price stability, regulate the issue of banknotes. Headquarter - Mumbai. First Governor - Osborne Smith. All currencies except 1 Rupee note (issued by the Ministry of Finance) are issued by RBI and signed by RBI's Governor.

Q6. Achievement of self-reliance and removal of poverty were twin objectives of which five-year plan?

- A. Third
- B. Fifth**
- C. Fourth
- D. Second

Solution: Fifth FYP (1974-78) - Twin objectives of removal of poverty (garibi hatao) and attainment of self-reliance. The Indian National Highway System was introduced. Target growth rate - 4.4%, actual growth rate - 4.8%. Second FYP (1956-61) objective - Rapid industrialisation with particular emphasis on the development of basic and heavy industries. Third FYP (1961-66) objective - establishment of a self-reliant and self-generating economy. Fourth FYP (1969-74) - growth with stability' and progressive achievement of self-reliance.

Q7. Which of the following is NOT a classification of E-Commerce?

- A. B2C (Business-to-Consumer)
- B. D2D (Distributor-to-Distributor)**
- C. C2C (Consumer-to-Consumer)
- D. B2B (Business-to-Business)

Solution: D2D (Distributor-to-Distributor) . Types of e-commerce include B2C (Business to Consumer), B2B (Business to business), C2C (Consumer to Consumer), P2P (Peer to Peer), and M - Commerce (Mobile Commerce). Examples of E-Commerce are Amazon, Flipkart, eBay, Fiverr, Upwork, Olx, Quikr, etc.

Q8. Which of the following is NOT an aid or auxiliary to trade?

- A. Hoarding**

- B. Insurance
- C. Warehousing
- D. Transportation

Solution: Hoarding – Purchasing and storing a large amount of product belonging to a particular market, creating scarcity of that product, and ultimately driving the price of that product up. Aid or auxiliary to trade – All those involved activities, which directly or indirectly facilitates smooth exchange of goods and services. Examples – transportation, communication, banking, warehousing, insurance, salesmanship, advertising, mercantile agents and global organizations etc.

Q9. BPL is an economic benchmark related to threshold income . What does "BPL" stand for?

- A. Base Price Line
- B. Below Price Line
- C. Below Poverty Line**
- D. Base Poverty Line

Solution: Below Poverty Line – Indicates the economic condition of individuals or households who are considered to be living in poverty. Dadabhai Naoroji through his book, "Poverty and Unbritish Rule in India" (1901) made the earliest estimation of the poverty line (₹16 to ₹35 per capita per year). Committees related to poverty estimation: National Planning Committee (1938), Bombay Plan (1944), VM Dandekar and N Rath (1971), Alagh Committee (1979), Lakdawala Committee (1993), Tendulkar Committee (2009), Rangarajan Committee (2014).

Q10. _____ is a record of assets and liabilities of any firm.

- A. Bill file
- B. Balance of payment
- C. Balance sheet**
- D. Bank bailout

Solution: Balance sheet – a financial statement that reports a company's assets, liabilities, and shareholder equity at a moment in time. A bailout is an injection of money from a business, individual, or government into a failing company to prevent its demise and the ensuing consequences. Balance of payments (BoP) records the transactions in goods, services, and assets between residents of a country with the rest of the world for a specified time period. A bill file is the official collection of documents that are produced during a bill's journey through the legislative process.

Q11. Which of the following options best describes the objective of Pradhan Mantri Rojgar Protsahan Yojana (PMRPY) Scheme, 2016?

- A. To provide financial assistance to entrepreneurs
- B. To provide free healthcare services to the unemployed
- C. To provide employment opportunities for rural women
- D. To encourage employers to create new jobs**

Solution: Pradhan Mantri Rojgar Protsahan Yojana (PMRPY). Objective – To incentivise employers for creation of employment. Nodal Ministry – Ministry of Labour and Employment. Other Schemes – Mahatma Gandhi National Rural Employment Guarantee Act (MNREGA) – 2005, Deendayal Antyodaya Yojana – National Rural Livelihood

Mission (DAY-NRLM) – 2011, Shyama Prasad Mukherjee Rural Mission – 2016, National Career Service (NCS) – 2015.

Q12. PM SVANidhi Scheme aims to empower _____ .

- A. Street Vendors**
- B. BPL Families
- C. Pregnant women
- D. Small Businessman

Solution: Street Vendors. The PM Street Vendor's Atma Nirbhar Nidhi Scheme – Launched in June 2020 as a Micro-Credit (upto INR10,000) facility. Aim – To empower street vendors to recover losses of the COVID-19 pandemic. Other government yojana: Antyodaya Anna Yojana (December, 2000) – BPL (Below Poverty Line) Family; Pradhan Mantri Surakshit Matritva Abhiyan and Pradhan Mantri Matru Vandana Yojana (January 2017) – Pregnant women; Pradhan Mantri Mudra Yojana (8 April, 2015) – Small Businessman.

Q13. Which Five-Year Plan in India was mainly focussed on Garibi Hatao, creation of employment opportunities and agricultural production amongst other objectives?

- A. Fifth**
- B. Fourth
- C. Third
- D. Second

Solution: Fifth Five year Plan . Its duration was 1974–1979. This plan was terminated in 1978 by the newly elected Morarji Desai government. The Electricity Supply Act was amended in 1975, a Twenty-point program was launched in 1975, the Minimum Needs Programme (MNP) and the Indian National Highway System was introduced. Second Five Year Plan (1956 to 1961), Its main focus was on the industrial development of the country. Third Five Year Plan (1961 to 1966), plan is also called 'Gadgil Yojna'. Fourth Five Year Plan (1969 to 1974), main objectives of this plan was growth with stability and progressive achievement of self-reliance.

Q14. In pre-independent India, who was the first person to discuss the concept of poverty line?

- A. M.K Gandhi
- B. Mahadev Govind Ranade
- C. B.R. Ambedkar
- D. Dadabhai Naoroji**

Solution: Dadabhai Naoroji (Great old man of India) . He criticized the britisher's policy of economic exploitation of India through his book "Poverty and Un-british rule in India" in which he made the earliest estimation of the poverty line (₹16 to ₹35 per capita per year). He was elected thrice (1886, 1893, 1906) the president of Indian National Congress.

Q15. What is the primary objective of Microfinance Institutions (MFIs) in India?

- A. To provide financial services to large corporations
- B. To offer financial assistance and services to low-income individuals and entrepreneurs**
- C. To generate profits for shareholders
- D. To fund government projects

Solution: An MFI is an organization that provides financial services to low-income populations, including microloans, microsavings, and microinsurance. These financial

companies offer small loans to individuals without access to banking facilities. The definition of "small loans" varies by country; in India, loans below ₹1 lakh qualify as microloans.

Q16. _____ is the interest rate at which the Reserve Bank of India (RBI) lends money to commercial banks of the country.

- A. Reverse Repo Rate
- B. Base Rate
- C. Marginal Rate

D. Repo Rate

Solution: Repo Rate. Reverse Repo Rate – The rate at which the Reserve Bank of India borrows money from commercial banks. The repo rate is always higher than the reverse repo rate. Marginal Tax Rate – It is the tax rate that applies to the highest income bracket in which an individual falls. Base Rate – The minimum rate of interest set by the Reserve Bank of India for lending loans to its customers.

Q17. Which of the following is added in the national income to obtain personal income of the households?

- A. Net interest payments
- B. Transfer payments from government and firms**
- C. Undistributed profits
- D. Corporate tax.

Solution: Personal Income = National Income – Corporate Income Taxes – Undistributed Corporate Profits – Social Security Contribution + Transfer Payments. Personal Income (PI) is the total money income received by individuals and households of a country from all possible sources before direct taxes.

Q18. 13. Which of the following is true about disposable income in relation to personal income?

- A. Disposable income is equal to personal income.
- B. Disposable income is always less than personal income.**
- C. Disposable income is always greater than personal income.
- D. Disposable income can be greater or less than personal income, depending on taxes and deductions.

Solution: Personal income includes payments to individuals (income from wages and salaries, and other income), plus transfer payments from government, less employee social insurance contributions. Disposable personal income measures the after-tax income of persons and nonprofit corporations.

Q19. If we deduct depreciation from GNP the measure of aggregate income that we obtain is called _____.

- A. Gross domestic product
- B. National income
- C. Private income

D. Net National Product

Solution: Net National Product. Gross National Product (GNP) – The total value of all the final products and services in a given period in terms of production by a country's residents. NNP = GNP – D (Depreciation). Depreciation: The value of an asset over time, due to wear and tear. Gross Domestic Product (GDP): The total value of goods produced and services

rendered within a country during a year. $GNP = GDP + NR$ (net income receipts) – NP (net outflow to foreign assets).

Q20. Which of the following is NOT an indirect tax?

- A. Excise tax
- B. Goods and Services tax
- C. Customs duty

D. Wealth tax

Solution: Indirect Tax – levied by the government on one entity (Manufacturer of goods), but is passed on to the final consumer by the manufacturer. Examples – VAT, Service tax, GST, Excise duty, entertainment tax and Customs Duty. Direct Tax – levied by the government directly on the individuals or corporations. Examples – Income Tax, Corporation Tax and Wealth Tax.

Q21. Small Industries Development Bank of India (SIDBI) is regulated by _____.

- A. State Bank of India
- B. Indian Bank
- C. Reserve Bank of India**
- D. ICICI Bank

Solution: Reserve Bank of India (RBI). SIDBI was set up in 1990 under an Act of Parliament as an All India financial institution (AIFI). It acts as the Principal Financial Institution for Promotion, Financing and Development of the Micro Small and Medium enterprises. Other types of All India Financial Institution (AIFI) regulated by RBI: (NABARD) – National Bank for Agriculture and Rural Development (1982), Export-Import Bank of India (1982) and National Housing Bank (1988).

Q22. _____ refers to sale and purchase of government securities by RBI in the open market with the aim of influencing liquidity in the economy in the medium term.

- A. Marginal Standing Facility
- B. Credit Ceiling
- C. Open Market Operations**
- D. Liquidity Adjustment Facility

Solution: Open Market Operations. Liquid adjustment facility is a tool used by RBI to control short-term liquidity / money supply in the market. It has two windows – Repo rate, Reverse repo rate. Marginal Standing Facility is the interest rate at which RBI lends short term loans to scheduled commercial banks and regional rural banks with their SLR – quota Government securities. Credit Ceiling means the upper limit of credit provided to the bank customer within the scope of the credit agreement.

Q23. Identify the correct match in the context of microfinance.

- A. Muhammad Yasir – Grameen Bank – Bangladesh
- B. Muhammad Yasir – Grameen Bank – Pakistan
- C. Muhammad Yunus – Grameen Bank – Pakistan
- D. Muhammad Yunus – Grameen Bank – Bangladesh**

Solution: Muhammad Yunus is a Bangladeshi social entrepreneur, economist, and civil society leader who founded the Grameen Bank in 1983. His work revolutionized microfinance and helped millions of people escape poverty. He received the Nobel Peace Prize in 2006 for founding Grameen Bank and pioneering the concepts of microcredit

and microfinance.

Q24. _____ is the income of the Government, Which arises out of the property left by the people without a legal heir.

A. Escheat

B. Moot

C. Felony

D. Lien

Solution: Escheat. Felony – It is traditionally considered a crime of high seriousness, whereas a misdemeanor is regarded as less serious. Moot – Unsettled, open to argument or debatable. Lien – A legal claim or legal right which is made against the assets that are held as collaterals for satisfying a debt.

Q25. Currency notes and coins are called _____.

A. near money

B. commodity money

C. fiduciary money

D. fiat money

Solution: Fiat money – It is a government-issued currency that is not backed by a commodity such as gold. Examples – The U.S. dollar, The British pound, The Indian rupee, and The Euro. Fiduciary money – Payment on the basis of trust but not on the basis of any order of the government. Example – cheques. Commodity money is money whose value comes from a commodity of which it is made. Examples include alcohol, cocoa beans, copper, gold, silver, salt, sea shells, tea, and tobacco. Near Money refers to non-cash assets which are highly liquid, such as bank deposits (saving deposits, current deposits etc), treasury bills, money markets, widely traded foreign currencies etc.

Q26. What are the three components of the empowerment model in SAPAP of SHGs?

A. Social mobilisation, economic development, and education

B. Collective empowerment, capital formation, and poverty eradication

C. Public resource allocation, capacity building, and microfinance

D. Social mobilisation, capital formation, and capacity building of the poor

Solution: South Asia Poverty Alleviation Programme (SAPAP) Model : This programme was assisted by UNDP (United Nations Development Programme) consequent to Dhaka declaration of SAARC countries on poverty eradication in 1993. The empowerment model has three components. These components help the poor to overcome their poor conditions by removing the obstacles that perpetuates poverty. SAPAP implemented in collaboration with local NGOs and state government. This is also a micro finance plus model.

Q27. Before the introduction of Periodic Labour Force Survey (PLFS), what type of surveys did the National Statistical Office (NSO) conduct for employment and unemployment indicators in India?

A. Biennial surveys

B. Decennial surveys

C. Quinquennial surveys

D. Monthly surveys

Solution: Quinquennial surveys. Before the introduction of the Periodic Labour Force Survey (PLFS), the National Statistical Office (NSO) conducted quinquennial surveys under the National Sample Survey (NSS) program to collect employment and unemployment data. These surveys, conducted every five years, provided detailed insights into labor force participation and unemployment trends. The first such survey was conducted in 1972–73 during the 27th round of the NSS. They were designed to capture long-term trends but lacked the ability to track short-term labor market changes. The PLFS replaced these surveys to provide annual and quarterly updates for more timely analysis.

Q28. Which of the following programmes was launched by NABARD in 2015 to promote the livelihood of the people in both farm and off-farm activities?

A. LWE

B. LEDP

C. MEDP

D. BLP

Solution: LEDPs (Livelihood and Enterprise Development Programmes). National Bank for agriculture and rural development (NABARD) : Statutory body established in 1982 under the NABARD Act, 1981 Recommendations of (Shivaraman Committee). Headquartered – Mumbai. Objective – To provide finance for small industries, cottage industries, and any other such village or rural projects (Agriculture and rural development).

Q29. With respect to India's foreign trade, which year is referred to as the year of division?

A. 2010

B. 1991

C. 1981

D. 1996

Solution: India witnessed economic reforms in 1991 & hence can be considered as a year of division with respect to India's foreign trade. Liberalization – process of making policies less constraining of economic activity and also reduction of tariff or removal of non-tariff barriers. Privatization – transfer of ownership of property or business from a government to a privately owned entity. Globalization – expansion of economic activities across political boundaries of nation states.

Q30. Which of the following best represents the Revenue Deficit?

A. Primary Deficit + Fiscal Deficit

B. Revenue Expenditure + Revenue Receipts

C. Primary Deficit – Fiscal Deficit

D. Revenue Expenditure – Revenue Receipts

Solution: Revenue Expenditure – Revenue Receipts. Revenue expenditure includes the government's day-to-day operational costs, such as salaries, pensions, and interest payments on debt. Revenue receipts refer to funds the government earns from tax collections and other sources during regular operations. A revenue deficit indicates that the government's earnings are insufficient to cover its operational costs and service provisions.

Q31. Identify the ODD one out.

- A. Hotels and restaurants
- B. Construction**
- C. Banking and insurance
- D. Transport and communication

Solution: Constructions. The primary sector involves getting raw materials from the natural environment. Example – Mining, farming and fishing. Secondary sector involves making things (manufacturing). Example – Making cars and steel. Tertiary sector involves providing a service. Example – hotel and restaurants, banking and insurance, transport and communications. Quaternary sector Involves knowledge-based activities. Example – Research and development, Information technology.

Q32. Which of the following is an example of capital receipt?

- A) Borrowings from World Bank to fund Project to Save Tigers**
- B) Sale of 30% stake in a PSU to private companies**
- A. Only B
- B. Both A and B**
- C. Neither A nor B
- D. Only A

Solution: Both A and B. Capital Receipt – The receipts during a fiscal year that either creates liability or cause a reduction in the government's assets. These are non-recurring and not routine. Capital Expenditure – The estimated expenditure of the government in a fiscal year which affects the assets and liabilities status of the government.

Q33. Which of these may NOT be attributed to micro-finance?

- A. Financial services could enable the poor to leverage their entrepreneurial initiatives.
- B. Financial services could enable the poor to accelerate the process of building assets and economic security.
- C. Financial services could enable the poor to accelerate the process of building incomes.
- D. Financial services could enable the poor to earn high rates of interest on deposits.**

Solution: Microfinance – A form of financial service which provides small loans and other financial services to poor and low-income households. The definition of "small loans" varies between countries. In India, all loans that are below Rs. 1 lakh can be considered as microloans.

Q34. Following are the industry categories classified under the Industrial Policy Resolution 1956, EXCEPT:

- A. industries in the cooperative sector.**
- B. industries with the public sector taking the lead and the private sector playing a supplementary role.
- C. industries in the private sector.
- D. industries with exclusive ownership of the state.

Solution: Industries in the cooperative sector. This resolution formed the basis of the Second Five Year Plan. This resolution classified industries into 3 categories: First – Comprising industries that would be exclusively owned by the state. Second – Consisted of industries in which the private sector could supplement the efforts of the state sector, with the state taking the sole responsibility for starting new units. Third – Consisted of the remaining industries which were to be in the private sector.

Q35. Who said 'PURA is one of the mechanisms which will be utilized for transforming our villages into productive economic zones'?

- A. APJ Abdul Kalam**
- B. Manmohan Singh
- C. Dadabhai Naoroji
- D. Atal Bihari Vajpayee

Solution: APJ Abdul Kalam. P URA (Provision of Urban Amenities to Rural Areas). Organizational Structure – District level Committee, Project Screening and Monitoring Committee, Inter Ministerial Empowered Committee. Objective: Provision of livelihood opportunities and urban amenities in rural areas to bridge the rural – urban divide.

Q36. Which of the following is the main objective of the DWCRA model of SHGs?

- A. To provide education opportunities for rural children
- B. To provide housing support for rural families
- C. To provide self-employment opportunities for rural women**
- D. To provide healthcare services to rural women

Solution: Development of Women and Children in Rural Areas (DWCRA), a sub-scheme of IRDP, was started in 1982-83 with the primary objective of providing the women members of rural families below poverty line with opportunities of self – employment. It is funded by the Centre and the States in the ratio 50:50. Self-Help Groups (SHGs) are women-led, community-based groups that promote savings, financial inclusion, and entrepreneurship. Supported by programs like NABARD's SHG-Bank Linkage and NRLM, they empower rural communities, fostering economic self-reliance.

Q37. Which of the following options does NOT constitute a national income measurement method?

- A. Credit method.**
- B. Product method
- C. Income method
- D. Expenditure method

Solution: Credit method. National Income is the total value of the goods and services produced by any country during its financial year. It can be measured by 3 methods: Product Method (Measured as a flow of goods and services), Income Method (Measured as a flow of factor incomes) and Expenditure Method (Measured as a flow of expenditure).

Q38. All of the following reasons can be attributed to the lack of access to credit for the poor EXCEPT:

- A. low information monitoring costs**
- B. lack of stable source of income
- C. lenders prefer dealing in large loans in small numbers to minimise administration costs
- D. absence of collateral with clear title

Solution: low information monitoring costs. One of the main constraints in providing credit to low-income households and informal businesses is the lack of information available with formal creditors to determine their credit worthiness. This results in a high cost of credit.

Q39. The budget of the central government is known as the

A. union budget

- B. annual exposed budget
- C. state budget
- D. revised budget

Solution: union budget. The Union Budget of India, also called the Annual Financial Statement under Article 112 of the Constitution, is the central government's annual statement of revenue and expenditure. It outlines the fiscal policies and allocations for the upcoming financial year. A state budget is a yearly financial plan that outlines a state government's projected revenues and expenditures for a fiscal year.

Q40. Which period in India is described as Plan Holiday?

- A. 1990 to 1993
- B. 1966 to 1969**
- C. 1956 to 1960
- D. 1947 to 1950

Solution: 1966 to 1969 . Plan Holiday : Due to failure of the Third Five Year Plan (FYP) the government declared 'Plan Holidays' (1966-67, 1967-68, 1968-69). The China-Indian War (1962) and the Indo-Pak War (1965), which caused the Third Five Year Plan to fail, were the primary causes of the plan holidays. Other Plans : Rolling Plan (1978-80) - Period of instability. Annual Plans (1990-92) - Liberalisation, Privatisation, Globalization (LPG) was introduced in India to grapple with the problem of the economy under prime minister P.V. Narasimha Rao.

Q41. Which of these is NOT the correctly stated component of the expenditure method of measuring national income?

- A. Final investment expenditure by firms
- B. Final government expenditure
- C. Export plus import expenditure**
- D. Final consumption expenditure by households

Solution: Export plus import expenditure. National Income : Sum total of incomes earned by the citizens of that country during a given period, over a year. Methods of Calculating National Income : Product method (Income calculated as a flow of commodities and services).

Q42. Which among the following type of unemployment is also known as the real wage unemployment?

- A. classical**
- B. seasonal
- C. structural
- D. frictional

Solution: Classical. Real wage unemployment occurs when wages are set above the equilibrium level causing the supply of labour to be greater than demand. Seasonal unemployment - When people are unemployed at particular times of the year when demand for labour is lower than usual. Structural unemployment - Mismatch between the jobs available and the skills of the available workers in the market. Frictional unemployment - Time for searching a new job or shifting from the existing to a new job.

Q43. Unemployment arising due to mismatch between Job availability in the market and skills of available workers is called?

- A. Seasonal

B. Structural

- C. Economical
- D. Frictional

Solution: Structural Unemployment - unemployment arising from the mismatch between the jobs available in the market and the skills of the available workers in the market. Seasonal Unemployment - occurs during certain seasons of the year. Frictional Unemployment (Search Unemployment) - occurs when workers lose their current job and are in the process of finding another one. Disguised Unemployment - more people are doing work than actually required.

Q44. Which of the following is the correct sequence of national income from broader to narrower concepts?

- A. GNP at market prices - NNP at market prices - GNP at factor cost - NNP at factor cost
- B. Personal disposable income - Personal income - GNP at market prices - GNP at factor cost
- C. GNP at factor cost - GNP at market prices - NNP at market prices - Personal income
- D. GNP at factor cost - NNP at factor cost - Personal income - Personal disposable income**

Solution: Gross Domestic Product (GDP) : It is a monetary measure of the market value of all the final goods and services produced in a specific time period by a country or countries. Gross National Product (GNP) : Total monetary value of the income generated by the country irrespective of geographical location. It includes the income of all the country's citizens and non-residents. Net National Product (NNP) : Monetary value of finished goods and services produced by a country's citizens, abroad and domestically minus depreciation. National income - The sum total of incomes earned by the citizens of a country during a given period, over a year.

Q45. Money multiplier can be expressed as _____.

- A. Statutory liquidity ratio / Cash Reserve Ratio
- B. $1 / \text{Statutory liquidity ratio}$
- C. Cash reserve ratio - Statutory liquidity ratio
- D. $1 / \text{Cash Reserve Ratio}$**

Solution: The money multiplier formula uses the reserve ratio. This is because of the major impact the reserve ratio has on the amount of money banks are allowed to loan out. Money Multiplier Effect = $1 / \text{Reserve Ratio}$. Cash Reserve Ratio - a specific part of the total deposit that is held as a reserve by the commercial banks and is mandated by the Reserve Bank of India (RBI). Statutory liquidity ratio - the minimum percentage of deposits that a commercial bank has to maintain in the form of liquid cash, gold or other securities. The SLR is fixed by the RBI.

Q46. In which year was the Shri Mahila SEWA Sahakari Bank established?

- A. 1971
- B. 1974**
- C. 1975
- D. 1972

Solution: 1974. The Self employed Women's Association movement called SEWA started in 1972 by Shri Ela Bhatt. Today, SEWA is the largest single trade union of unorganized

sector women with a membership of more than 20,00,000 Informal Sector Members. In May 1974, the SEWA Bank was registered as a co-operative bank under the dual control of The Reserve Bank of India and The State Government. Since then it has been providing banking services to poor, illiterate self-employed women and has become a viable financial venture.

Q47. Which of the following is NOT a private sector industry in India?

- A. Dabur Industries
- B. Bharat Heavy Electricals Limited (BHEL)**
- C. Tata Iron and Steel Company (TISCO)
- D. Bajaj Auto Ltd.

Solution: Bharat Heavy Electricals Limited (BHEL). BHEL, established in 1964, is a public sector undertaking (PSU) owned by the Government of India under the Ministry of Heavy Industries. Headquartered in New Delhi. It manufactures power plant equipment and contributes to over 55% of India's installed power generation capacity. In contrast, Dabur Industries, Tata Steel (TISCO), and Bajaj Auto Ltd. are private sector companies.

Q48. Which of the following is NOT included in the national income?

- A. Income received by a person as a donation**
- B. Income received by a household for the use of their entrepreneurial skill
- C. Income received by a person for the use of his capital
- D. Income received by a household for the use of their land.

Solution: Income received by a person as a donation. National income is the total value of all goods and services produced by the residents of a country in a year, both within its domestic boundaries and abroad. It represents the net income earned by citizens through production activities. It is a key indicator of a country's economic performance. National income includes contributions from various sectors like agriculture, industry, and services. Net National Product at factor cost is known as National Income.

Q49. The year whose prices are being used to calculate the real GDP is called _____.

- A. Current year
- B. Constant year
- C. Base year**
- D. sdcewferFiscal year

Solution: Base year - the year whose prices are used to calculate the real GDP. Currently, 2011-12 is the base year in India for GDP. Fiscal year - In India, the fiscal year starts on April 1 and ends on March 31. C urrent year - the fiscal year in which a budget is prepared and adopted.

Q50. Which of these statements is true ?

- A. At lower rates of interest, people will have a lower preference for liquidity
- B. At higher rates of interest transactions demand for money will be higher
- C. At lower rates of interest, speculative demand for money will be higher**
- D. At higher rates of interest liquidity preference of people will

increase

Solution: The three motives of demand for money are the transactions motive (The requirement of cash by the business for its day-to-day operations), The precautionary motive (A desire to hold cash in order to be able to deal effectively with unexpected events that require cash outlay), and The speculative motive (A strategy employed by investors and traders to keep cash on hand in order to take advantage of future investment opportunities).

Q51. Which of the following is an example of capital receipt?

- A. Disinvestment of Public Sector Banks by the Government**
- B. Passport Fees
- C. Land Registration Fees
- D. General donation

Solution: Capital receipt - the receipts of the government which either create liability or cause any reduction in the assets of the government. Examples - Sale of fixed assets, provident funds, disinvestments, recovery of loans. Other type of receipt - Revenue Receipt - The receipts which neither create liability nor cause any reduction in the government's assets. Examples - corporationTax, Tax on incomes, wealth tax, goods and service tax.

Q52. How many central banks can a country have?

- A. Four
- B. One**
- C. Three
- D. Two

Solution: One. A central bank is a public institution responsible for managing a country's currency, money supply, and monetary policy. Each country typically has one central bank that regulates monetary policy, issues currency, and oversees the banking system. For instance, the Reserve Bank of India (RBI) is India's central bank, while the Federal Reserve fulfills this role in the United States.

Q53. If labour is employed in a job but is not actually utilised for the production of goods and services, it is known as:

- A. seasonal unemployment
- B. educated unemployment
- C. disguised unemployment**
- D. urban unemployment

Solution: disguised unemployment. Seasonal unemployment happens when people are not able to find jobs during some months of the year. People dependent upon agriculture usually face this kind of problem. Educated unemployment occurs when individuals with formal education cannot secure jobs. Urban unemployment refers to joblessness in urban regions.

Q54. Which of the following is a feature of public goods?

- A. These goods are more competitive.
- B. These goods are limited in supply.
- C. Consumption of one person does not affect the consumption of another person.**
- D. Only taxpayers can get the benefit of public goods.

Solution: Option (C) is correct. In every economy, some goods are provided by the government to the entire people. Such

goods are called public goods . The types of public goods include security, education, knowledge, infrastructure, environment and health. A public good has two key features: Nonexcludable and Nonrivalrous. Nonexcludable means that it is costly or impossible for one user to exclude others from using a goods. Nonrivalrous means that when one person uses a good, it does not prevent others from using it.

Q55. Which among the following was set up in 1956 by the Indian government by nationalising all the existing private sector life insurance companies?

- A. United India Insurance Company Limited
- B. General Insurance Corporation of India
- C. New India Assurance Company Limited

D. Life Insurance Corporation of India

Solution: Life Insurance Corporation of India – A government-owned insurance and investment firm in India. Established – 1 September 1956, Headquartered – Mumbai. Chairperson – Siddhartha Mohanty (As of June 2023). United India Insurance Company Limited – Established – 18 February 1938 and Nationalized in 1972, Headquarters – Chennai (Tamil Nadu). General Insurance Corporation of India – Incorporated on 22 November 1972 under Companies Act, 1956. Headquarters – Mumbai. New India Assurance Company Limited – Founded by Sir Dorabji Tata in 1919, and Nationalised in 1973 , Headquarters – Mumbai.

Q56. Which of the following statements is correct? I. The Family Welfare Program has sought to promote responsible and planned parenthood on a mandatory basis. II. The National Population Policy 2000 provides a policy framework to provide free and compulsory education up to the age of 14 years.

- A. Neither I nor II
- B. I only
- C. II only**
- D. Both I and II

Solution: The Family Welfare Programme (launched in 1951) seeks to promote responsible and planned parenthood through voluntary (not on a mandatory basis) and free choice of family planning methods. The National Population Policy 2000 provides a policy framework to provide free and compulsory education up to the age of 14 years.

Q57. The subject of the Study of Macroeconomics is based on which principle?

- A. The principle of National Income**
- B. The principle of Consumer
- C. The principle of Producer
- D. The principle of Investment

Solution: The subject of the Study of Macroeconomics is

based on the principle of National Income. Macroeconomics – It explains how the economy as a whole operates and how aggregate demand and supply are used to generate the level of national income and employment. National Income – The complete value of the goods and services produced by any country during its financial year.

Q58. Mukhya Mantri Sikho Kamao Yojana was launched by which of these state governments?

- A. Uttar Pradesh
- B. Maharashtra
- C. Madhya Pradesh**
- D. Gujarat

Solution: Madhya Pradesh. “Mukhyamantri Sikho Kamao Yojana” Scheme was launched on June 15, 2023. The scheme aims to help young people in the state acquire the skills they need to get jobs by providing them with training in various fields.

Q59. _____ measures the aggregate production of final goods and services taking place within the domestic economy during a year.

- A. Gross National income
- B. Gross domestic product**
- C. Net national product
- D. National income at factor price

Solution: Gross domestic product – total monetary or market value of all the finished goods and services produced within a country's borders in a specific time period. Gross National income – total amount of money earned by a nation's people and businesses. Net national product – gross national product (GNP), the total value of finished goods and services produced by a country's citizens overseas and domestically, minus depreciation. National income at factor price – sum total of value added at factor cost or net domestic product at factor cost and net factor income from abroad.

Q60. Which curve examines the relationship between the rate of unemployment and the rate of money wage changes?

- A. Phillips curve**
- B. Indifference curve
- C. Supply curve
- D. Demand curve

Solution: Phillips curve. Indifference curve – A graphical representation of a combined product that gives similar kind of satisfaction to a consumer thereby making them indifferent. The supply curve is a microeconomic concept that illustrates how production tends to increase as the price of a product rises. Demand curve – A graphic representation of the relationship between product price and the quantity of the product demanded.